NOTE 11: INCOME TAXES

The components of the provision for income taxes for the years ended May 31 were as follows:

	2002	2001	2000
		(In millions)	
Current provision:			
Domestic:			
Federal	$ 333	$ 310	$ 365
State and local	39	43	49
Foreign	41	36	40
	413	389	454
Deferred provision (credit):			
Domestic:			
Federal	21	(43)	(3)
State and local	3	(3)	—
Foreign	(2)	—	(1)
	22	(46)	(4)
	$ 435	$ 343	$ 450

A reconciliation of the statutory federal income tax rate to the effective income tax rate for the years ended May 31 is as follows:

	2002	2001	2000
Statutory U.S. income tax rate	35.0%	35.0%	35.0%
Increase resulting from:			
State and local income taxes, net of federal benefit	2.4	2.8	2.8
Other, net	0.1	(0.8)	1.7
Effective tax rate	37.5%	37.0%	39.5%

The significant components of deferred tax assets and liabilities as of May 31 were as follows:

	2002		2001	
	Deferred Tax Assets	Deferred Tax Liabilities	Deferred Tax Assets	Deferred Tax Liabilities
		(In millions)		
Property, equipment and leases	$ 266	$ 897	$ 269	$ 816
Employee benefits	273	126	226	118
Self-insurance accruals	288	—	277	—
Other	191	125	241	99
	$ 1,018	$ 1,148	$ 1,013	$ 1,033

In connection with an Internal Revenue Service (“IRS”) audit for the tax years 1993 and 1994, the IRS proposed adjustments characterizing routine jet engine maintenance costs as capital expenditures that must be recovered over seven years, rather than as expenses that are deducted immediately, as has been our practice. We filed an administrative protest of these adjustments and engaged in discussions with the Appeals office of the IRS. After these discussions failed to result in a settlement, in 2001 we paid $70

Table of Contents

FEDEX CORPORATION
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS—(Continued)

million in tax and interest and filed suit in Federal District Court for a complete refund of the amounts paid, plus interest. The IRS has continued to assert its position in audits for the years 1995 through 1998 with respect to maintenance costs for jet engines and rotable aircraft parts. Based on these audits, the total proposed deficiency for the 1995-1998 period, including tax and interest through May 31, 2002 was approximately $187 million. In addition, we have continued to expense these types of maintenance costs subsequent to 1998. We believe that our practice of expensing these types of maintenance costs is correct, consistent with industry practice and with IRS ruling 2001-4. We intend to vigorously contest the adjustments.